Pearson Edexcel International GCSE

Mark Scheme

Summer 2026 — Predicted Paper (Advanced)

In Economics (4EC1)
Paper 2: Macroeconomics and the Global Economy

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Mark Scheme: Paper 2 — Macroeconomics and the Global Economy (4EC1/02) — Predicted (Advanced)

1(a)	**Question** Which one of the following best describes a negative externality of production? **Answer / Indicative Content** AO1 1 mark The only correct answer is: **B Pollution affecting nearby residents** A is not correct because job creation is a positive externality/benefit of production. C is not correct because tax revenue is a transfer to the government, not a spillover cost. D is not correct because lower prices are a private benefit, not an external cost.	(1)

1(b)	**Question** Which one of the following is most likely to reduce carbon emissions? **Answer / Indicative Content** AO1 1 mark The only correct answer is: **C A carbon tax on fossil fuel producers** A is not correct because a coal subsidy would increase coal output and emissions. B is not correct because removing a petrol tax lowers prices and raises demand/emissions. D is not correct because cheaper gas electricity encourages more fossil-fuel consumption.	(1)

1(c)	**Question** What is meant by the term market failure? **Answer / Indicative Content** AO1 2 marks Award up to 2 marks for a correct definition: Market failure is where the free market fails to allocate resources efficiently (1), leading to a misallocation of resources / a loss of economic welfare (1) OR When the price mechanism produces an outcome (1) that does not maximise social welfare (1) *Accept any other appropriate response.*	(2)

1(d)	**Question** Describe one way deforestation can cause economic damage. **Answer / Indicative Content** AO1 2 marks Award 1 mark for identification of a way and 1 mark for development. One way is loss of biodiversity and natural habitats (1), which reduces future income from ecotourism and sustainable forestry (1) OR Deforestation increases flooding and soil erosion (1), which damages farmland and infrastructure and raises clean-up costs for the government (1) *Accept any other appropriate response.*	(2)

1(e)	**Question** Calculate the estimated external health cost per tonne of CO_2 emitted in Indonesia. **Answer / Indicative Content** AO2 2 marks Award 1 mark for correct method (health cost ÷ emissions): $28 500 000 000 ÷ 692 000 000 tonnes (1) Award 1 mark for the correct answer: **= approximately US$41.18 per tonne (1)** Award 2 marks if the correct answer is shown even without working. Award 1 mark if the $ sign or 'per tonne' unit is missing. *Accept answers in the range US$41.00 – US$41.20 owing to rounding.*	(2)

1(f)	**Question** Draw the effects of a carbon tax on the market for coal-fired electricity. **Answer / Indicative Content** AO2 3 marks Award 1 mark for a left/upward shift of supply ($S \rightarrow S_1$), labelled. Award 1 mark for a higher new equilibrium price (P_1), labelled. Award 1 mark for a lower new equilibrium quantity (Q_1), labelled.	(3)

1(g)	**Question** Explain one reason why negative externalities cause market failure. **Answer / Indicative Content** AO2 3 marks Award 1 mark for identification of a reason.	(3)

	Award 1 mark for development. Award 1 mark for context (Indonesia / coal / pollution). Producers only consider their private costs and ignore external costs such as pollution (1). This means the market price of coal electricity is too low and the quantity produced is too high (1), causing over-consumption and harm to Indonesian residents through respiratory illness and acid rain (1). *Accept any other appropriate response.*	

1(h)	**Question** Analyse the possible disadvantages of introducing a carbon tax in Indonesia. **Indicative Content — AO2 (3 marks) / AO3 (3 marks)** **AO2 and AO3** • A carbon tax raises the cost of producing coal-fired electricity, which is passed on to consumers in the form of higher electricity prices. • Because 61% of Indonesian electricity comes from coal, the tax will affect most households — particularly those on low incomes — making it a potentially regressive measure. • Higher energy costs raise firms' production costs, fuelling cost-push inflation across the Indonesian economy. • Coal-dependent regions risk job losses as demand for coal-fired power falls; unemployment may rise in mining and power-generation sectors. • Indonesian exporters competing internationally may lose competitiveness if rival countries do not impose a similar carbon tax. • Firms may relocate production abroad ("carbon leakage") to countries with weaker environmental rules, reducing the tax's effectiveness in cutting global emissions. • Setting the carbon tax at the correct level is difficult: too low and it fails to change behaviour; too high and it causes excessive economic damage.	(6)

Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by

Level	Mark	Descriptor
		developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

2(a)	**Question** Which one of the following best describes hyperinflation? **Answer / Indicative Content** AO1 1 mark The only correct answer is: **C An extremely high and typically accelerating rate of inflation** A is not correct because 2% is low, stable inflation (within typical target). B is not correct because a falling price level is deflation. D is not correct because a one-off rise from taxes is not hyperinflation.	(1)

2(b)	**Question** Which one of the following describes stagflation? **Answer / Indicative Content** AO1 1 mark The only correct answer is: **B High inflation combined with rising unemployment and stagnant growth** A is not correct because high growth with low inflation is a healthy boom. C is not correct because rising real wages are inconsistent with high inflation. D is not correct because this describes deflation with rising employment.	(1)

2(c)	**Question** State one impact of hyperinflation on savers. **Answer / Indicative Content** AO1 1 mark Award 1 mark for any one impact: • The real value of savings falls sharply / is eroded. • Savers lose purchasing power. • People may switch out of domestic currency into foreign currencies or physical assets. • Real interest rates on savings accounts typically become strongly negative. *Accept any other appropriate response.*	(1)

2(d)	**Question** What is meant by the term cost-push inflation? **Answer / Indicative Content** AO1 2 marks Award up to 2 marks for a correct definition:	(2)

	Inflation caused by a rise in the costs of production (1) such as wages, raw materials or imported inputs (1) OR A sustained rise in the general price level (1) caused by higher input costs being passed on to consumers (1) *Accept any other appropriate response.*	

2(e)	**Question** Explain one reason why peso devaluation will increase inflation in Argentina. **Answer / Indicative Content** AO2 3 marks Award 1 mark for identifying a relevant reason. Award 1 mark for development. Award 1 mark for context (Argentina / peso / 50% devaluation). A devaluation of the peso makes imports more expensive for Argentinian firms and households (1). Because Argentina imports many raw materials and fuel, higher import prices raise firms' production costs, which are passed on as higher shop prices (1). This cost-push effect was visible after the 50% peso devaluation, when Argentine shop prices rose sharply in the following weeks (1). *Accept any other appropriate response (e.g. imported inflation, wage-price spiral).*	(3)

2(f)	**Question** Label the remaining three stages of the economic cycle. **Answer / Indicative Content** AO2 3 marks Award 1 mark for Boom (top of first curve). Award 1 mark for Downturn (between Boom and Recession). Award 1 mark for Recovery (rising portion after Recession).	(3)

2(g)	**Question** Assess the possible effects of using contractionary monetary policy to reduce inflation in a country such as Argentina. **Indicative Content — AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks)** **AO2 and AO3 — effects** • Contractionary monetary policy involves raising interest rates (to over 100% in 2023) and/or reducing the money supply. • Higher interest rates raise the cost of borrowing, discouraging consumer spending on credit and business investment.	(9)

	• Lower aggregate demand reduces demand-pull inflation, helping to bring Argentina's 211% rate down. • Higher interest rates attract hot money inflows, supporting the peso and reducing imported inflation. • Higher rates encourage saving over spending, further dampening demand. • Expectations of lower future inflation may moderate wage-price spirals. **AO4 — evaluation / drawbacks** • Very high interest rates sharply reduce investment and real consumer spending, which contributed to Argentina's −1.6% GDP in 2023 — the risk of deepening the recession. • Monetary policy has time lags of 18–24 months, so inflation may not fall quickly enough to prevent severe hardship. • Argentina's inflation is partly cost-push (peso devaluation, subsidy cuts), which higher interest rates do not directly address. • Higher borrowing costs for the government may worsen the fiscal deficit, forcing more austerity. • Unemployment is likely to rise as firms cut production and cancel investment projects. • Overall judgement: contractionary monetary policy can reduce demand-pull inflation but may deepen stagflation in the short run; it is likely to be effective only if combined with fiscal discipline, credible exchange-rate management and supply-side reforms.	

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	0	• No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).

Level	Mark	Descriptor
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

3(a)	**Question** Which one of the following would most likely cause an appreciation of a country's currency? **Answer / Indicative Content** AO1 1 mark The only correct answer is: **C An increase in foreign direct investment into the country** A is not correct because lower interest rates reduce demand for the currency, causing depreciation. B is not correct because higher imports increase supply of the currency on forex markets, causing depreciation. D is not correct because higher domestic inflation erodes competitiveness and weakens the currency.	(1)

3(b)	**Question** How many Saudi riyals would a firm receive for an export worth US$2 000? **Answer / Indicative Content** AO2 1 mark The only correct answer is: **C SAR 7 500** Working: 2 000 × 3.75 = 7 500 SAR. A is not correct because 2 000 ÷ 3.75 gives the wrong direction. B is not correct because this uses 0.9375 × 2 000 (incorrect rate). D is not correct because this is 10× the correct answer.	(1)

3(c)	**Question** Draw the effects of a rise in demand for the riyal on the FX market. **Answer / Indicative Content** AO2 3 marks Award 1 mark for a right shift of demand ($D \rightarrow D_1$), labelled. Award 1 mark for a higher new equilibrium exchange rate (ER_1), labelled. Award 1 mark for a higher new equilibrium quantity of riyals traded (Q_1), labelled.	(3)

3(d)	**Question** Analyse the possible benefits to Saudi Arabia of diversifying away from oil. **Indicative Content — AO2 (3 marks) / AO3 (3 marks)** **AO2 and AO3** • Diversification reduces Saudi Arabia's dependence on oil exports ($326.5bn), which are vulnerable to volatile world prices and long-term falls in demand. • Investment in tourism, renewable energy and manufacturing under Vision 2030 creates new sources of export earnings,	(6)

	raising non-oil exports above the current \$67.4bn. • New industries generate domestic jobs, reducing Saudi unemployment and providing opportunities for young Saudis entering the workforce. • A broader economic base makes GDP less volatile — growth is less tied to the global oil-price cycle — giving more stable tax revenues for the government. • Diversification accelerates technology transfer and skills development, raising labour productivity and long-term potential growth. • Reducing dependence on oil helps Saudi Arabia meet climate commitments and supports a more sustainable development path as the world transitions away from fossil fuels. • Stronger non-oil sectors can narrow the services deficit (−\$38.2bn) by boosting domestic tourism earnings.	

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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

3(e)	**Question** Assess the possible effects of a currency devaluation on an economy such as Egypt. **Indicative Content — AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks)** **AO2 and AO3 — effects** • Devaluation makes Egyptian exports (textiles, cotton, Suez	(9)

	Canal fees) cheaper in foreign markets, increasing export revenue. • Imports become more expensive for Egyptian firms and households, encouraging consumers to switch to domestic substitutes. • Improvement in the trade balance and current account if the Marshall–Lerner condition holds. • Higher export demand stimulates production in Egyptian manufacturing, raising aggregate demand, real GDP and employment. • Devaluation can attract more foreign direct investment as Egyptian assets and labour become cheaper in foreign-currency terms — part of the IMF rationale. • A more competitive exchange rate supports tourism, another key source of foreign-currency earnings. **AO4 — evaluation / drawbacks** • A 40% devaluation raises the price of essential imports such as wheat, fuel and medicines, causing imported inflation that hits poorer households hardest. • Egypt's inflation rate was already high; further cost-push inflation could trigger social unrest. • Firms that rely on imported inputs or capital equipment see their costs rise, potentially offsetting the export gain. • Devaluation raises the local-currency cost of servicing foreign-denominated debt, worsening the fiscal position. • The J-curve effect means trade balances often worsen in the short run before improving, so benefits are delayed. • Effectiveness depends on price elasticities of demand for exports and imports and on whether trading partners retaliate. • Overall judgement: devaluation can help Egyptian exporters and attract FDI, but the inflationary and debt-servicing costs are significant; it works best as part of a broader reform package (as agreed with the IMF) rather than on its own.	

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Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).

Level	Mark	Descriptor
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

4(a)	**Question** Calculate the number of Indians below the poverty line in 2023 (millions). **Answer / Indicative Content** AO2 2 marks Award 1 mark for correct method: 1 430m × 12.9% (or × 0.129) (1) Award 1 mark for the correct answer: **= approximately 184.47 million (1)** Award 2 marks for the correct answer shown even without working. Award 1 mark only if 'million' unit is missing. *Accept answers in the range 184.4 – 184.5 million.*	(2)

4(b)	**Question** Analyse the possible ways in which economic growth can raise living standards in a country such as India. **Indicative Content — AO2 (3 marks) / AO3 (3 marks)** **AO2 and AO3** • Economic growth in India (7.6% in 2023) raises real incomes as more goods and services are produced per person. • Higher incomes allow Indian households to consume more goods and services — food, housing, healthcare, education — improving material living standards. • Growth driven by IT and business-process outsourcing creates well-paid service-sector jobs in cities such as Bengaluru, Hyderabad and Pune. • Rising employment reduces poverty; the share of population below the poverty line fell from 21.9% in 2011 to 12.9% in 2023. • Higher GDP leads to higher tax revenues, which the Indian Government can spend on infrastructure, schools and public health — improving non-income aspects of living standards. • Investment in roads, ports and digital infrastructure (as in India) reduces transport costs and connects rural populations to markets, reducing inequality. • Over time, rising productivity raises real wages and purchasing power.	(6)

Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation.

Level	Mark	Descriptor
		Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

4(c)	**Question** Evaluate the view that trade is more effective than foreign aid in promoting economic development in a country such as Ethiopia. **Indicative Content — AO2 (4 marks) / AO3 (4 marks) / AO4 (4 marks)** **AO2 and AO3 — arguments in favour of trade** • Trade allows Ethiopia to specialise according to comparative advantage in coffee, leather goods and textiles, raising efficiency and export earnings. • Membership of the AfCFTA opens larger African markets to Ethiopian exporters, supporting output, employment and foreign-currency earnings. • Export growth can generate sustained foreign-currency inflows, funding imports of capital goods and technology without creating debt. • Trade encourages competition and technology transfer, raising productivity in Ethiopian firms. • Export-oriented growth creates long-term jobs, reduces rural poverty and widens the tax base. • Trade avoids the dependency culture that can arise from long-term aid reliance. **AO4 — arguments for aid / against trade** • Targeted aid (>$4bn in 2023) can fund schools, hospitals and vaccination programmes, directly improving HDI components that trade alone may not address. • Aid is crucial during humanitarian emergencies — drought, famine, conflict — where trade cannot provide a fast enough response. • Ethiopia lacks the infrastructure and capital to compete internationally; aid can build roads, power networks and ports	(12)

	that later enable export-led growth. • Trade can lock Ethiopia into exporting low-value primary commodities with volatile prices, worsening the terms of trade. • Rich-country protectionism (tariffs on textiles, agricultural quotas) can limit Ethiopia's ability to benefit from trade. • Much aid is tied to projects or purchases from donor countries, which limits its effectiveness — so aid is not a perfect alternative either. **Supported judgement** • Overall, trade is likely to be more effective for long-term, sustainable development because it provides a continuing flow of earnings and supports jobs. • However, trade and aid are best seen as complementary: aid builds the human and physical capital that makes Ethiopia competitive enough to benefit from trade. • The balance depends on the stage of development, quality of aid, Ethiopian governance, and access to developed-country markets.	

Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).

Level	Mark	Descriptor
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

TOTAL FOR PAPER = 80 MARKS